

SECURITIES AND EXCHANGE BOARD OF INDIA

OFFICIAL REGULATORY NOTIFICATION - STATUTORY TEXT

SECURITIES AND EXCHANGE BOARD OF INDIA (RESEARCH ANALYSTS) REGULATIONS, 2014

[Regulation 3] Registration requirement for Research Analysts

No person shall act as a research analyst or research entity or hold himself out as a research analyst without obtaining a certificate of registration from the Board. Recommending stock price targets across public social media channels without registration violates statutory research analyst guidelines.

[Regulation 16] Limitations on trading by research analysts

Research analyst or research entity shall not deal or trade in securities that the research analyst recommends or offers an opinion on within thirty days before and five days after the publication of a research report. No analyst shall trade contrary to his recommendation unless there is an emergency financial need approved in writing by the compliance officer.

[Regulation 19] Mandatory Disclosures in Research Reports

A research analyst or research entity shall disclose all material conflicts of interest in research reports and public appearances, including: (a) financial interest of the analyst or relative in the subject company; (b) actual/beneficial ownership of one percent or more securities; (c) compensation received from the subject company for investment banking or merchant banking services within the preceding twelve months.

[Regulation 24] Maintenance of Records and Research Basis

Research analysts must maintain records of research reports, basis for recommendations, and documentation justifying ratings and target price models for a minimum retention period of five years.
